Asian Paints

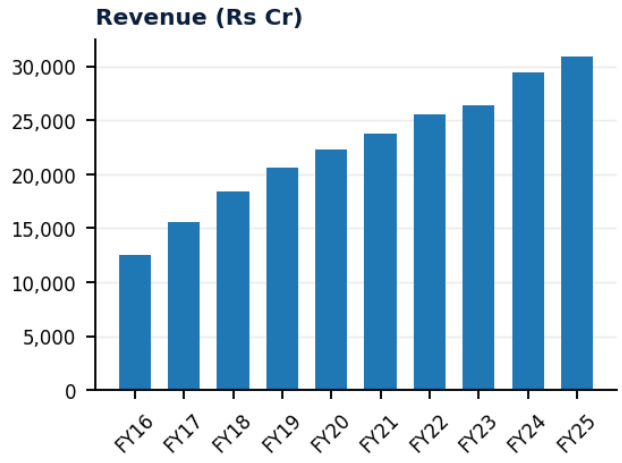
Sector: Consumer & Telecom

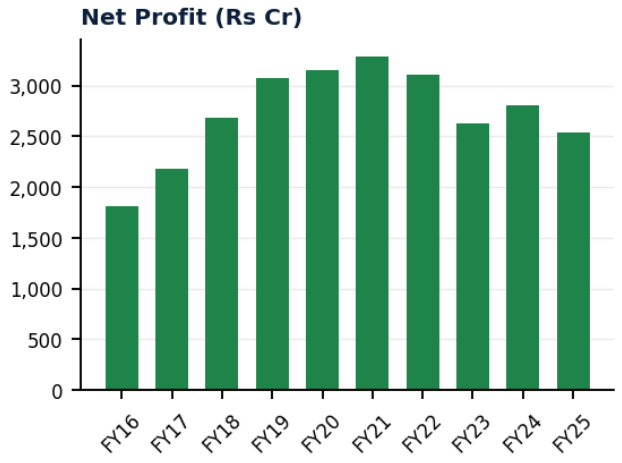
ASIANPAINT

Key performance indicators (FY2025)

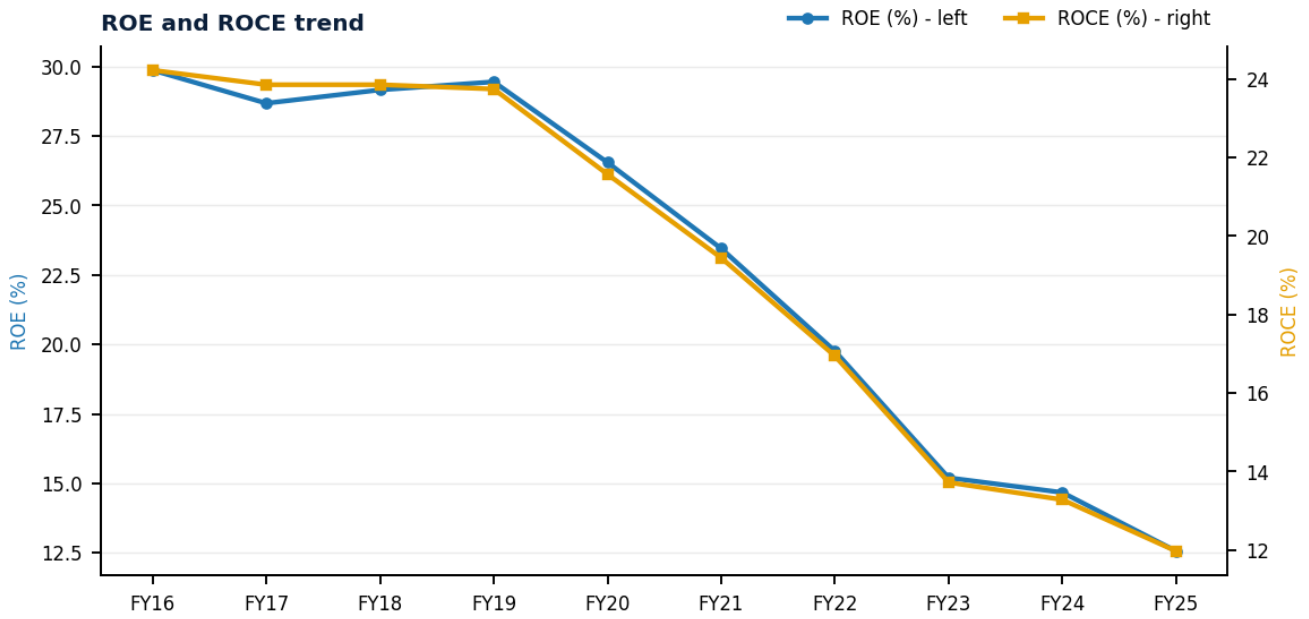
Revenue (Rs Cr)	Net Profit (Rs Cr)	Operating Margin (%)
30,950	2,537	22.2%
ROE (%)	**ROCE (%)**	**Debt / Equity (x)**
12.6%	12.0%	1.61x

10-year Revenue and Net Profit

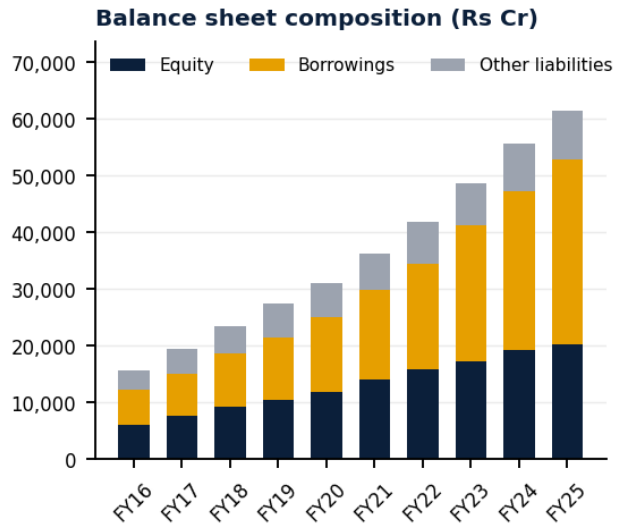


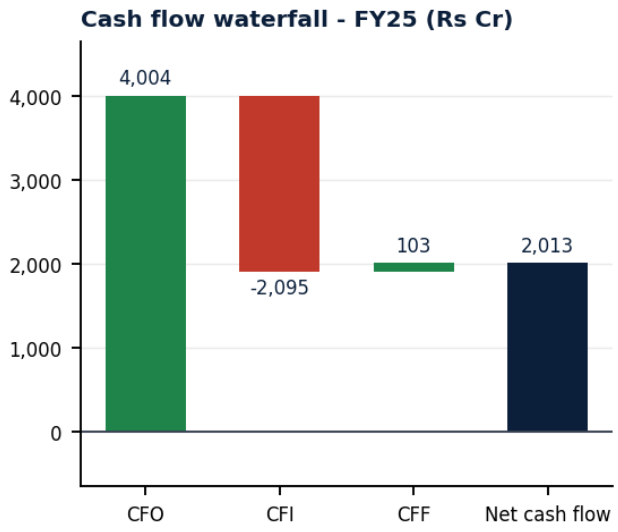


Return ratios (ROE and ROCE)



Balance sheet composition and cash flow





Pros - what the numbers favour

- Strong free cash flow generation over 5 years signals healthy business fundamentals (100%)
- Consistent dividend yield above 2% backed by positive free cash flow (61%)

Cons - what to watch

- Earnings per share declining for 3 consecutive years reflects deteriorating profitability (86%)
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (78%)
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk (71%)
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure (70%)

Capital allocation pattern (FY2025)

Aggressive Expander

Cash flow intelligence

CFO quality	CapEx intensity	Distress signal	Deleveraging
High Quality (1.33)	**Moderate (6.8%)**	**No**	**No**